

Notice to Members No. 01-194
June 7, 2001

CORRECTS AND SUPPLEMENTS PREVIOUS NOTICE TO MEMBERS NO. 01-191

All amended rules can be found on the New York Mercantile Exchange, Inc.
website @ http://www.nymex.com/reference/notices/2001/ntm_191r.htm.

To:

All NYMEX Division Members
All NYMEX Division Clearing Members
All NYMEX Division Member Firms

From:

Neal Wolkoff, Executive Vice President

Re:

-- Amendments to NYMEX Division Position Limit and Reporting Rules
-- Amendments to Large Trader Reporting Requirements for Light Sweet
Crude Oil and the Addition of Brent Crude Oil

The Board of Directors of the New York Mercantile Exchange, Inc. has approved various amendments to NYMEX Division Chapter 9 rules which, in general, move away from hard position limits "in any one month and all months combined" to position accountability standards. These amendments shall be effective as of the open of trading on Friday, June 15, 2001.

The amendments to any one month, all months combined and option quadrants limits as cited in Rule 9.26, position accountability will provide for the ability for any participant to exceed the prescribed levels. (As a note: the levels advocated for any one month and all months combined are the levels currently in place for all months combined under the existing rule structure. The currently defined any one month limits, which are lower than the all months limits, are being deleted. Additionally, the gross side of market rules are deleted.) Any market participant exceeding the defined position accountability levels will be subject to being contacted by the Exchange when the Exchange deems it necessary, and will be required to supply relevant information as to its position and the status of its account. If the participant refuses to do so, or if the Exchange believes the position, by its size, is a threat to the orderly operation of the market, a market participant can be directed!
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either to not increase or to decrease its position.

The existing current delivery month on expiration limits as defined in existing Rule 9.27 will be unchanged and subject to hedge/swap exemptions as they are today. The only caveat to this is that certain cash-settled enymexsm contracts will operate with some level of position accountability in the current delivery month.

Further, the large trader reporting levels cited in Rule 9.34 for Light Sweet Crude Oil futures has been amended from 300 to 350 contracts to coincide with

existing CFTC standards. The soon to be traded Brent Crude Oil futures' reporting level has been added at the same level of 350 contracts.

Lastly, the any one month/all months position accountability level for the Brent Crude Oil contract of 20,000 has been added.

All amended rules can be found on the New York Mercantile Exchange, Inc. website @ http://www.nymex.com/refernce/notices/2001/ntm_191r.htm.

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